

**SUBSTITUTE FOR  
SENATE BILL NO. 535**

A bill to amend 1976 PA 331, entitled  
"Michigan consumer protection act,"  
(MCL 445.901 to 445.922) by adding section 3j.

**THE PEOPLE OF THE STATE OF MICHIGAN ENACT:**

1       **Sec. 3j. (1) A person engaged in trade or commerce that sells,**  
2       **leases, or offers to sell or lease a service or good to a consumer**  
3       **under a consumer contract with an automatic renewal provision shall**  
4       **disclose the automatic renewal provision in a clear and conspicuous**  
5       **manner in the contract or contract offer. A disclosure under this**  
6       **subsection must include all of the following:**

7               **(a) That the contract will automatically renew if the consumer**  
8       **agrees to the contract.**

9               **(b) The length of the initial term of the contract and the**



1 length of each renewal period under the contract.

2 (c) The amount to be charged to the consumer for the initial  
3 term of the contract and the amount to be charged to the consumer  
4 for any renewal period, including, but not limited to, both of the  
5 following:

6 (i) The terms of any promotional or discounted price for a  
7 limited period of time.

8 (ii) If the contract or contract offer includes a free gift or  
9 trial period, a clear and conspicuous explanation of the price that  
10 will be charged after the trial period ends or the manner in which  
11 the pricing will change on conclusion of the free gift or trial  
12 period.

13 (d) If any terms of the contract will change on contract  
14 renewal, a list and explanation of those terms.

15 (e) That, after the consumer agrees to the contract, the  
16 consumer will receive an acknowledgment that includes the terms of  
17 the automatic renewal provision, cancellation policy, and  
18 information regarding how to cancel the contract in a form that is  
19 capable of being retained by the consumer.

20 (f) That the consumer may cancel the contract up to the day  
21 before the renewal is processed.

22 (g) An email address, mailing address if the person directly  
23 bills the consumer, or other cost-effective, timely, and easy-to-  
24 use mechanism that the consumer may use to cancel the contract.

25 (2) After a consumer enters into a contract with a person  
26 engaged in trade or commerce under subsection (1), the person shall  
27 provide an acknowledgment, in a form capable of being retained by  
28 the consumer, that includes the terms of the automatic renewal  
29 provision, the cancellation policy, and information regarding how



1 to cancel using the easy-to-use mechanism required under subsection  
2 (3). If the contract includes a free gift or trial of services, the  
3 acknowledgment must also disclose how to cancel and allow the  
4 consumer to cancel the goods or services before the consumer pays  
5 for the goods or services.

6 (3) A person engaged in trade or commerce under this section  
7 shall provide a consumer who accepts a consumer contract with an  
8 automatic renewal provision an easy-to-use mechanism to cancel the  
9 contract. If a consumer uses an easy-to-use mechanism to cancel a  
10 contract under this subsection, the consumer must promptly receive  
11 a confirmation of cancellation.

12 (4) A person engaged in trade or commerce under this section  
13 shall not automatically renew a consumer contract for a specified  
14 period of more than 2 months unless the person provides the  
15 consumer with electronic notice before the end of the contract term  
16 that meets both of the following requirements:

17 (a) Sets forth in a clear and conspicuous manner all of the  
18 following:

19 (i) That unless the consumer cancels the contract, the contract  
20 will automatically renew.

21 (ii) That the consumer may cancel the contract up to the day  
22 before the renewal is processed.

23 (iii) A list and explanation of any terms of the contract that  
24 will change on contract renewal.

25 (iv) The specific procedure by which the consumer may cancel  
26 the contract.

27 (v) An email address, mailing address if the seller directly  
28 bills the consumer, toll-free telephone number, or other cost-  
29 effective, timely, and easy-to-use mechanism that the consumer may

1 use to cancel the contract.

2 (b) Is served on the consumer not less than 30 days and not  
3 more than 60 days before the last day on which the consumer may  
4 give notice of the consumer's intent to cancel the contract.

5 (5) A person engaged in trade or commerce under this section  
6 shall do all of the following, as applicable:

7 (a) For a subscription that is 1 year or longer,  
8 electronically notify the consumer not less than 15 days and not  
9 more than 45 days before the automatic renewal of the subscription  
10 that the consumer is subscribed to the person's service, that the  
11 consumer will continue to pay if no action is taken by the  
12 consumer, and instructions on how to cancel the subscription.

13 (b) For a subscription that is month-to-month, provide a  
14 receipt to the consumer with a monthly charge electronically, if  
15 the consumer has provided the person with an email, or by mail, if  
16 the consumer has elected to have notices delivered by mail. A  
17 consumer may elect to opt out of receiving a receipt required under  
18 this subdivision.

19 (c) For a subscription trial or discounted service that is for  
20 less than 1 month at a provided rate before resuming the standard  
21 price for the subscription or service, notify the consumer not less  
22 than 3 days but not more than 15 days before the standard price  
23 resumes.

24 (6) A person engaged in trade or commerce under this section  
25 shall not do any of the following:

26 (a) Fail to allow the consumer a minimum of 30 calendar days  
27 after the receipt of the electronic notice under subsection (4) to  
28 give notice of the consumer's intent to cancel the contract at the  
29 end of the initial term or at the end of any additional renewal



1 period.

2 (b) Fail to honor a cancellation notice timely given by a  
3 consumer under this section, regardless of whether the person  
4 receives the cancellation notice before or after the expiration of  
5 the notice period.

6 (c) Charge an additional cost or penalty to cancel a contract  
7 at the end of the initial term, at the end of any additional  
8 renewal period, or, if applicable, at the end of a free gift or  
9 trial period.

10 (7) A consumer contract that is contrary to this section is  
11 voidable by the consumer.

12 (8) This section applies only to a contract that takes effect  
13 or is extended, renewed, or modified after the effective date of  
14 the amendatory act that added this section.

15 (9) This section does not apply to a business, or any  
16 affiliate of that business, offering telephone, wireless, or  
17 broadband services that is regulated by the Michigan public service  
18 commission.

19 (10) If a person engaged in trade or commerce under this  
20 section shows that a violation of this section was not intentional  
21 and resulted from a bona fide error made notwithstanding the  
22 maintenance of procedures reasonably adopted to avoid such error,  
23 the person is not in violation of this section.

24 (11) This section may be enforced only by the attorney general  
25 or a prosecuting attorney. A person other than the attorney general  
26 or a prosecuting attorney shall not bring an action under section  
27 11 in relation to a violation of this section.

28 (12) As used in this section:

29 (a) "Automatic renewal provision" means a provision under



1 which a consumer contract is renewed for a specified period of more  
2 than 1 month unless the consumer gives notice of the consumer's  
3 intent to cancel the contract.

4 (b) "Clear and conspicuous" means either of the following:

5 (i) For a print disclosure, in larger type than the surrounding  
6 text, or in contrasting type, font, or color to the surrounding  
7 text of the same size, or set off from the surrounding text of the  
8 same size by symbols or other marks, in a manner that clearly calls  
9 attention to the language.

10 (ii) For an audio disclosure, in a volume and cadence  
11 sufficient to be readily audible and understandable.

12 (c) "Consumer contract" or "contract" means a contract for the  
13 sale or lease of a service or good to a consumer. Consumer contract  
14 does not include any of the following contracts:

15 (i) A contract by a person that is regulated under the  
16 insurance code of 1956, 1956 PA 218, MCL 500.100 to 500.8302, or by  
17 an affiliate of person under this subparagraph.

18 (ii) A service contract as that term is defined in section 125  
19 of the insurance code of 1956, 1956 PA 218, MCL 500.125.

20 (iii) A contract that is cancelable by the consumer at any time  
21 for a pro rata refund of any unearned amounts.

22 (d) "Easy-to-use mechanism" means a clear, readily accessible,  
23 and user-friendly method that a consumer may use to cancel a  
24 contract with an automatic renewal provision regardless of the  
25 method that the consumer initially used to enter into the contract.  
26 Easy-to-use mechanism includes, but is not limited to, both of the  
27 following methods:

28 (i) If the person engaged in trade or commerce under this  
29 section maintains a public website for business purposes, a



1 dedicated and easily discoverable option on the public website with  
2 a minimal number of straightforward steps.

3 (ii) An easily accessible toll-free telephone number that is  
4 answered during normal business hours.

5 Enacting section 1. This amendatory act does not take effect  
6 unless Senate Bill No. 536 of the 103rd Legislature is enacted into  
7 law.